Excuses for Bad Crash Predictions

WHY ARE MARKETS *so difficult to forecast?*

I have spilled a lot of words[208] researching this question. The bottom line seems to be that the factors that drive markets do not lend themselves to predictability: They are a volatile mixture of rational and irrational beliefs, unmet expectations, and wholly unknowable events. The resulting potpourri looks a lot like the randomness that Burton Malkiel and Nassim Taleb describe.

The halfway point is the fascinating research by University of Pennsylvania professor Philip Tetlock. He first showed that most professional forecasters are pretty terrible at what they do;[209] then, he explained what the more successful forecasters do to make better predictions.[210] It's a brilliant one-two punch.

Tetlock labels the excuses used when predictions don't come to pass (via Ben Carlson[211]). See if you can spot what they all seem to have in common:

1. If only this one thing would have gone my way, I would have been right.
2. Something completely unexpected happened so it's not my fault.
3. It didn't happen but I was close.
4. I'm not wrong, I'm just early.
5. It's just one prediction.

The commonality is this: *The future is both unknown and unknowable.* That your forecast was derailed by an unanticipated event is not an excuse for it not coming true—it is what happens all the time, and why nearly all forecasts are worthless. Forecasting assets, time, and price at once is felled by this mortal wound.